

MACRO POLITICS



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(FROM LEFT) GOYAL, RANADE, MANAGING EDITOR SHANKKAR AIYAR, KUMAR, EDITOR PRABHU CHAWLA, BIBEK DEBROY, DEV, ROY; (RIGHT) PRANAB MUKHERJEE



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the consequence of a context. India is among the fastest growing economies at 7-plus per cent GDP growth for 2009-10. Politically, the UPA could well be the "unipolar alliance" given the track record of electoral victories. The Opposition is frequently missing from action and is yet to comprehend the cause of its defeats. Marooned without an idea and mired in obsolete ideologies, both the Left and the Right are trapped in existential battles. In Mukherjee, India had a consummate politician with the stature to push change. Add the forecast of 8.5 per cent GDP growth for 2010-11 and you could say the "necessary and sufficient conditions" that are integral to economists' forecasts are all in place. Yet the author of Budget 2010 chose incrementalism over quantum change.

The moot question is not about the exercise of choice but whether India can afford the option of homeopathic doses of change

and development. One of three Indians lives below the official line of poverty and can't afford two meals; 70 per cent of the population survives on 20 per cent of national income; 200 districts are infected by Naxalism. The causal connection between the empirical evidence and the imperative for paradigm change is not casual. The Board of India Today Economists debates if indeed Mukherjee missed an opportunity while analysing and rating Budget 2010.

WHAT IS THE BIG MESSAGE?

Does the Budget address the challenges faced by the economy?

Siddhartha Roy: There are two or three things in this Budget of which we should take note of. The first, there is a very clear sense of fiscal consolidation—if you look at targets